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Supreme Court of California
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Case No. S284498

S284498

In the

Supreme Court

of the

State of California

DANA HOHENSHELT,
Plaintiff and Petitioner,

v.

SUPERIOR COURT OF LOS ANGELES COUNTY,
Respondent,

and

GOLDEN STATE FOODS CORP.,
Defendant and Real Party in Interest.

ON REVIEW OF A DECISION FROM THE CALIFORNIA COURT OF APPEAL
SECOND APPELLATE DISTRICT, DIVISION EIGHT, CASE NO. B327524
LOS ANGELES SUPERIOR COURT · HON. THOMAS FALLS · NO. 20PSCV00827

OPENING BRIEF ON THE MERITS

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ISSUES PRESENTED

Does the Federal Arbitration Act ("FAA") preempt state statutes that specify when arbitrators must send invoices for arbitration costs and when payment is due and that provide the right to arbitrate is forfeited if timely payment is not made?

INTRODUCTION

This case presents the Court with its first opportunity to consider the interaction between the FAA and the 2019 amendments to the California Arbitration Act ("CAA") which created new rules for employment and consumer arbitrations. The law, codified at Code of Civil Procedure sections 1281.97 through 1281.99,[1] requires arbitrators to immediately issue invoices for the costs of arbitration. If those invoices are not paid within 30 days, the employer/business forfeits its right to arbitrate by operation of law and is subject to mandatory civil sanctions.

Dana Hohenshelt ("Hohenshelt") is a former employee of Golden State Foods Corp. ("Golden State Foods"). As part of his employment onboarding, the parties entered into an arbitration agreement governed by the FAA. Hohenshelt later submitted an arbitration claim to JAMS, the parties arbitrated for more than year, and Golden State Foods paid more than $50,000 to cover the cost of the arbitration. Just 60 days before the final hearing date, however, Hohenshelt attempted to unilaterally withdraw from the arbitration, under the authority of section 1281.98, because Golden State Foods did not pay an earlier, outdated invoice within

[1] Unless otherwise noted, all further statutory references are to the Code of Civil Procedure.

30 days. The trial court rejected Hohenshelt's position. In a split decision, the Court of Appeal ruled that the law authorized Hohenshelt to withdraw from the arbitration and is not preempted by the FAA.

For the reasons explained below, these new provisions of the CAA are preempted by the FAA. The FAA requires arbitration agreements to be on an equal plane with other contracts and enforced according to their terms. Sections 1281.97 *et seq*. single out arbitration for disfavored treatment, and they deprived Golden State Foods of the ability to enforce its arbitration agreement based on arbitration-specific grounds. The law purports to rewrite provisions of the written agreement between Hohenshelt and Golden State Foods that specifically addressed the payment of arbitration fees as a matter of contract. And by imposing rigid deadlines and stripping the power of arbitrators over their own fees, the law interferes with the fundamental attributes of arbitration.

Finally, this Court's recent decision in *Quach v. California Commerce Club, Inc.* (Cal. 2024) 551 P.3d 1123 ("*Quach*") instructs that "arbitration related proceedings in California courts are governed by the CAA's procedural rules unless their application is preempted or the parties have expressly agreed that the FAA's procedural rules apply." Here, the parties expressly agreed that the arbitration "shall be governed by the Federal Arbitration Act" and proceed "in accordance with [JAMS'] rules." Under these circumstances, the decision below was erroneous and should be reversed.

STATEMENT OF THE CASE

A. The Parties Enter into an Arbitration Agreement to Govern Any Dispute Arising Out of Their Employment Relationship.

Hohenshelt was hired by Golden State Foods in July 2018. (Pet. Appx. at p. 22 ¶ 7.)[2] As part of onboarding, Hohenshelt and Golden State Foods entered into an At-Will Acknowledgment and Pre-Dispute Resolution Agreement (the "Agreement" or "Arbitration Agreement"). (*Id*. at pp. 29 ¶ 6, 35-38.) In the Agreement, Hohenshelt and Golden State Foods agreed on the scope of arbitrable issues and certain, specific dispute resolution procedures that would apply if a controversy were to arise.

First, the Agreement is "governed by the Federal Arbitration Act." (Pet. Appx. at p. 35.) The parties carved out a single exception, providing that the "sufficiency of discovery . . . shall be in accordance with applicable state law." (*Ibid*.) The Agreement does not refer to the CAA. (*Ibid*.)

Second, the parties agreed to submit to arbitration in accordance with "the rules of the American Arbitration Association/JAMS/Endispute or other professional ADR-provider mutually selected." (Pet. Appx. at p. 35.)

Third, Golden State Foods agreed to pay for "costs unique to arbitration as well as the cost of the arbitrator." (Pet. Appx. at p. 35.) The Agreement, however, does not require Golden State Foods

[2] "Pet. Appx." page citations are to the consecutive page numbers on the Exhibits Supporting Petition for Writ of Mandate or Other Appropriate Relief filed in the Court of Appeal on April 3, 2023.

to pay the arbitrator on any specific, pre-determined schedule. (*Ibid*.)

The Agreement further provides that these terms "may not be altered, amended, modified, or otherwise changed," except in writing approved by Golden State Foods' Vice President of Legal Affairs and signed by its Chief Executive Officer. (Pet. Appx. at p. 35.)

B. Hohenshelt Sues Golden State Foods and the Trial Court Orders the Case to Arbitration.

On November 25, 2020, Hohenshelt filed a Complaint against Golden State Foods in the Los Angeles County Superior Court. (Pet. Appx. at pp. 20-26.) The Complaint alleges Golden State Foods retaliated against Hohenshelt after he reported a coworker for harassing another coworker. (*Id*. at p. 22 ¶¶ 10-17.) On February 3, 2021, Golden State Foods filed a Motion to Compel Arbitration and Motion to Stay. (*Id*. at pp. 28-30, 42-47.) Hohenshelt filed formal notice of non-opposition to the motion. (*Id*. at p. 47, fn. 2.) The trial court granted the motion and ordered the case to arbitration. (*Id*. at p. 17 ¶ 4.)

C. The Parties Arbitrate Their Dispute for Over a Year Pursuant to the FAA and JAMS' Procedural Rules.

On August 3, 2021, Hohenshelt submitted his claims to JAMS. (Pet. Appx. at pp. 49-50.) The same day, JAMS issued notice of the commencement of the arbitration proceedings. (*Ibid*.) The notice confirmed the arbitration would proceed according to JAMS' procedural rules, including rules "regarding payment of fees." (*Ibid*.)

On August 16, 2021, JAMS issued notice of the appointment of Lexi Myer-Wolfe as arbitrator. (Pet. Appx. at p. 72.) The notice again confirmed that JAMS' procedural rules apply, including specifically that "the Arbitrator will bill in accordance" with JAMS's General Fee Schedule for Ms. Myer-Wolfe ("JAMS' Fee Rules"). (*Ibid.*)

Hohenshelt and Golden State Foods arbitrated their dispute for over a year. (Pet. Appx. at pp. 151 ¶ 12, 314.) They exchanged written discovery, took several depositions, submitted multiple discovery disputes, and filed dispositive motions. (*Id.* at pp. 151 ¶ 12, 314.)

The arbitrator issued two scheduling orders, and the final hearing was set for November 29, 2022. (Pet. Appx. at pp. 80-84, 234-38.) Both scheduling orders again confirmed that, pursuant to "agreement of the parties," the "Applicable Law and Rules" were JAMS' procedural rules and the FAA. (*Id.* at pp. 81 ¶ 5, 235 ¶ 6, emphasis in original.)

D. Golden State Foods Pays JAMS' Invoices Pursuant to JAMS' Fee Rules.

JAMS' Fee Rules specify when payment is due and the consequences if payment is not timely made. Specifically, payment is due "in advance of services rendered and by any applicable due date as stated in a hearing confirmation letter." (Pet. Appx. at p. 62.) If a party misses a payment deadline, JAMS "reserves the right to cancel [the] hearing." (*Ibid.*) Under JAMS' Fee Rules, a missed payment deadline does not automatically result in termination of the arbitration proceeding, nor does it authorize

any party to unilaterally withdraw and pursue claims in another forum. (*Ibid.*)

On August 3, 2021, JAMS issued an initial invoice in the amount of $7,000. (Pet. Appx. at p. 77.) Golden State Foods promptly paid the invoice. (*Id.* at p. 313.)

A year later, as the final hearing date was approaching, the arbitrator notified the parties that she would be unavailable from August 8 through September 18, 2022, and urgent matters should be submitted before July 25, 2022. (Pet. Appx. at pp. 151 ¶ 13, 240.) On July 29, 2022, JAMS issued an invoice for $32,300. (*Id.* at pp. 88, 151 ¶ 14.) On August 29, 2022, JAMS issued an additional invoice for $11,760. (*Id.* at pp. 87, 151 ¶ 14.) Both invoices stated that payment was "due upon receipt." (*Id.* at pp. 87-88.)[3]

Consistent with JAMS' rules, both invoices stated that "fees are due per [JAMS'] cancellation and continuance policy" and "[f]ailure to pay the deposit *may* result in a delay in service or cancellation of the session." (Pet. Appx. at pp. 87-88, emphasis added.) Neither invoice referred to the CAA or any other statutory basis for payment of fees. (*Ibid.*) Rather, both invoices confirmed

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[3] On September 22, 2022, Golden State Foods' counsel provided notice of unavailability in anticipation of counsel's paternity leave. (Pet. Appx. at pp. 151-52 ¶ 15.) Before the trial court, Golden State Foods' counsel submitted a declaration stating that he was "unaware that these invoices had been issued given the arbitrator's previously Notice of unavailability." (*Id.* at p. 151 ¶ 14.) The trial court credited the declaration and found that "Defense Counsel may not have *received* the invoice, which is tacitly required by CCP section 1281.98, subdivision (2)." (*Id.* at p. 314, emphasis in original.) The Court of Appeal did not specifically address this issue.

that the invoiced amounts were based on the terms "agreed upon by all parties." (*Ibid.*) On September 30, 2022, JAMS issued a Request to Post Fees stating that "all fees must be paid in full by October 28, 2022, or [the] hearing may be subject to cancellation" by JAMS. (*Id.* at p. 104.)

E. Hohenshelt Seeks to Withdraw From the Arbitration and Lift the Stay Because the July and August Invoices Were Not Paid Pursuant to the California Arbitration Act.

Within hours of receiving the Request to Post Fees, Hohenshelt filed a letter stating that, pursuant to section 1281.98, subdivision (b), he "unilaterally electe[d] to withdraw" from the arbitration and JAMS "retains no jurisdiction." (Pet. Appx. at pp. 102-03.)

After receiving Hohenshelt's letter, Golden State Foods paid all outstanding fees by October 5, 2022, well in advance of the October 28, 2022 due date set by JAMS. (*Hohenshelt v. Superior Ct.* (2024) 99 Cal.App.5th 1319, 1323 ("*Hohenshelt*").) JAMS processed and accepted the fees. (Pet. Appx. at p. 232.)

The next day, on October 6, 2021, Hohenshelt moved to lift the stay in the trial court (Pet. Appx. at pp. 8-14). According to Hohenshelt, because Golden State Foods did not pay the July and August 2022 invoices within 30 days, Hohenshelt had a "statutory right pursuant to CCP § 1281.98 to withdraw his claims from arbitration and proceed in court," notwithstanding Golden State Foods' payment of all outstanding fees by the date set by JAMS. (*Id.* at p. 12.)

F. The Trial Court Denies the Motion to Lift the Stay.

The trial court denied Hohenshelt's motion to lift the stay, concluding that section 1281.98 requires payment of invoices by the "due date," and Golden State Foods complied with this requirement by paying the invoices before October 28, 2022, the due date set by JAMS. (Pet. Appx. at pp. 313-14.) The trial court further ruled that the policies underlying section 1281.98 did not warrant terminating the arbitration in this case. (*Id*. at p. 314.) The court noted that the "legislature's focus" of section 1281.98 was to "prevent[] a defendant who compels arbitration" from "then refus[ing] to make payment," thereby leaving the plaintiff in "procedural limbo." (*Ibid*.) Here, by contrast, Golden State Foods paid the initial invoice, diligently litigated the case, and "evidenced an intention of resolving the disputes with alacrity." (*Ibid*.)

G. In a Split Decision, the Court of Appeal Reverses.

On April 3, 2023, Hohenshelt filed a petition for writ of mandate. On February 27, 2024, the Court of Appeal granted Hohenshelt's petition in a 2 to 1 published decision. (See *Hohenshelt, supra*, 99 Cal.App.5th 1319.)

1. The Majority Opinion.

First, the majority ruled the trial court erred in finding that Golden State Foods' payment was timely. (*Hohenshelt*, *supra*, 99 Cal.App.5th at pp. 1324-25.) Relying principally on an earlier decision written by Justice Wiley—who dissented below—the majority interpreted section 1281.98 as establishing bright-line requirements for the payment of arbitrators' invoices that are

mandatory, have no exceptions, and must be strictly enforced. (*Ibid*. [citing *Cvejic v. Skyview Capital, LLC* (2023) 92 Cal.App.5th 1073, 1075, 1078 (Wiley, J.) ("*Cvejic*")].) Because Golden State Foods did not pay the July or August 2021 invoice within 30 days of their issuance, section 1281.98 "entitled Hohenshelt to withdraw from the arbitration." (*Ibid.*) The arbitrator's subsequent notice stating that payment was due on October 28, 2022 was ineffective because the law prohibits arbitrators from setting the due date for their invoices. (*Ibid*.)

The majority then addressed "[t]he question of whether section 1281.98, as well as sections 1281.97 and 1281.99, are preempted by the FAA." (*Hohenshelt*, *supra*, 99 Cal.App.5th at p. 1325.) Relying on *Gallo v. Wood Ranch USA, Inc.* (2022) 81 Cal.App.5th 621 ("*Gallo*"), the majority concluded the FAA does not preempt section 1281.98 on grounds that sections 1281.97 *et seq*. "*further*—rather than *frustrate*—the objectives of the FAA to [1] honor the parties' intent to arbitrate and [2] to preserve arbitration as a speedy and effective alternative forum for resolving disputes." (*Id*. at pp. 1325-26 [quoting *Gallo, supra*, 81.Cal.App.5th at p. 630], emphasis original.)

2. Justice Wiley's Dissent.

In a dissenting opinion, Justice Wiley found sections 1281.97 *et seq*. are preempted by the FAA.[4] Central to Justice Wiley's

[4] Justice Wiley's dissent does not specifically address the first part of the majority's opinion finding section 1281.97 *et seq*. establishes bright-line requirements for arbitration invoicing and payment. However, he authored the principal authority relied upon by the majority in interpreting section 1281.98. (*Hohenshelt, supra*, 99

dissent is the "equal treatment principle," which requires courts to place arbitration agreements on equal footing with all other contracts. (*Hohenshelt*, *supra*, 99 Cal.App.5th at p. 1328 [dis. opn. of Wiley, J.].) Relying on *Belyea v. Greensky, Inc.* (N.D. Cal. 2002) 637 F.Supp.3d 745 ("*Belyea*"), Justice Wiley recognized that sections 1281.97 *et seq*. are *not* "friends" of arbitration. He explained that these statutory provisions "single[] out arbitration agreements for disfavored treatment" because no other contracts are automatically deemed unenforceable based on a short payment delay. (*Hohenshelt*, *supra*, 99 Cal.App.5th at pp. 1328-29 [dis. opn. of Wiley, J.].) "Only arbitration contracts face this firing squad." (*Id.* at p. 1328.)

In Justice Wiley's view, "California state law disagrees, strongly and persistently, with federal law about whether arbitration is desirable." (*Hohenshelt*, *supra*, 99 Cal.App.5th at p. 1327 [dis. opn. of Wiley, J.].) Based on a chronology of cases in which the United States Supreme Court invalidated California state law, Justice Wiley views the enactment of sections 1281.97 *et seq.* as confirmation that "California law continues to find new ways to disfavor arbitration." (*Ibid*.)

Cal.App.5th at p. 1324, citing *Cvejic, supra,* 92 Cal.App.5th 1075.) In *Cvejic*, Justice Wiley wrote that "the Legislature sought a clear rule" and the Courts must "strictly enforce this statute." (*Cvejic, supra,* 92 Cal.App.5th at pp. 1077-78.) The *Cvejic* Court did not reach the preemption issue because the defendant did not raise the argument in its opening brief. (*Id.* at p. 1079.)

H. This Court Grants Review.

Golden State Foods filed a petition for review. This Court granted review to address whether the FAA preempts sections 1287 *et seq.*

ARGUMENT

I. THE HISTORY OF THE RIGHT TO ARBITRATION UNDER FEDERAL AND CALIFORNIA LAW.

Arbitration is "a private system of justice." (*Eljer Mfg., Inc. v. Kowin Dev. Corp.* (7th Cir. 1994) 14 F.3d 1250, 1254; *Rifkind & Sterling, Inc. v. Rifkind* (1994) 28 Cal.App.4th 1282, 1291-92 ("*Rifkind*").) The defining characteristic of arbitration, as distinct from other forms of dispute resolution, is that it is "arranged by contract," (*Rifkind, supra,* Cal.App.4th at p. 1291), free from "undue state influence" (*Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 656 ("*Viking River Cruises, Inc.*")). "Typically, those who enter into arbitration agreements expect that their dispute will be resolved without necessity for any contact with the courts." (*Moncharsh v. Heily & Blasé* (1992) 3 Cal.4th 1, 9 [citation omitted].)

Historically, a major obstacle to private dispute resolution has been the state's refusal to enforce parties' agreements. (*Rodriguez de Quijas v. Shearson/American Express, Inc.* (1990) 490 U.S. 477, 480; *Scherk v. Alberto-Culver Co.* (1974) 417 U.S. 506, 511.) Both Congress and the California Legislature addressed the hostility toward arbitration agreements a century ago. In 1925, Congress passed the FAA. (*AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339 ("*Concepcion*").) Two years later, in 1927, California passed the California Arbitration Act ("CAA").

(*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 97.) Both statutory schemes were enacted as "part of the historical shift away from hostility toward arbitration." (*Quach, supra,* 551 P.3d at p. 1134; accord, *Cable Connection, Inc. v. DIRECTV, Inc.* (2008) 44 Cal.4th 1334, 1343.)

That shift is still underway, and it is clear that hostility toward arbitration is not a relic of the past. In Justice Wiley's view, the statutory scheme at issue in this case, sections 1281.97 *et seq.*, is a product of that continued hostility. (*Hohenshelt*, *supra*, 99 Cal.App.5th at p. 1327 [dis. opn. of Wiley, J.] ["People opposed to arbitration are supporting this statute"].)

A. The FAA.

"Congress passed the FAA to 'overrule the judiciary's longstanding refusal to enforce agreements to arbitrate' and to place such agreements '*upon the same footing as other contracts*, where it belongs.'" (*Cronus Invs., Inc. v. Concierge Servs.* (2005) 35 Cal.4th 376, 383-84 ("*Cronus*") [quoting *Dean Witter Reynolds Inc. v. Byrd* (1985) 470 U.S. 213, 219-220], emphasis added].) The FAA "simply requires courts to enforce privately negotiated agreements to arbitrate[] like other contracts." (*Volt Information Sciences, Inc. v. Board of Trustees of Leland Stanford Junior Univ.* (1989) 489 U.S. 468, 478 ("*Volt*").)

The foundational goal of contract law is to effectuate the intent of the parties. (*California Steam Nav. Co. v. Wright* (1856) 6 Cal. 258, 261 ["[I]t has always been the policy of our law to construe contracts according to the intention of the parties."].) Thus, the "FAA's primary purpose" is to ensure "that private

agreements to arbitrate," like all other contracts, "are enforced according to their terms." (*Volt, supra,* 489 U.S. at p. 479.)

Congress' goal in enacting the FAA was not to endorse arbitration *above* resolution of disputes in the court system. Instead, the FAA "place[s arbitration] agreements upon the same footing as other contracts." (*Morgan v. Sundance, Inc.* (2022) 596 U.S. 411, 418 ("*Morgan*").) Accordingly, the FAA's mandate is *not* "to provide special status for arbitration agreements, but only 'to make arbitration agreements as enforceable as other contracts, but not more so.'" (*Cronus, supra,* 35 Cal.4th at pp. 384-85 [quoting *Prima Paint Corp. v. Flood & Conklin Mfg. Co.* (1967) 388 U.S. 395, 404, fn. 12 ("*Prima Paint Corp.*")].)

"Section 2 is the primary substantive provision of the Act." (*Moses H. Cone Mem'l Hosp. v. Mercury Constr. Corp.* (1983) 460 U.S. 1, 24 ("*Moses H. Cone*").) With a single exception discussed below, section 2 provides that arbitration agreements "shall be valid, irrevocable, and enforceable." (9 U.S.C. § 2.) To effectuate section 2, the FAA also "sets forth procedures for enforcing arbitration agreements in federal court." (*Smith v. Spizzirri* (2024) 601 U.S. 472, 472 ("*Smith*").)

B. The CAA.

The CAA is the "statutory framework for enforcement of contractual arbitration in California." (*Swissmex-Rapid S.A. de C.V. v. SP Sys., LLC* (2013) 212 Cal.App.4th 539, 544.) Setting aside the newly enacted provisions at issue in this case, the FAA and CAA are substantially similar or identical in most respects.

Structurally, the CAA contains both substantive and procedural provisions that track the FAA. (*Rosenthal v. Great W. Fin. Sec. Corp*. (1996) 14 Cal.4th 394, 406 ("*Rosenthal*").)

Substantively, the language of the CAA "closely parallel[ls]" the FAA, and the "California policy, like federal policy, is fundamentally about making arbitration agreements '"as enforceable as other contracts, but not more so."' (*Quach, supra*, 551 P.3d at p. 1134 [quoting *Morgan, supra,* 596 U.S. at p. 418].) Thus, the FAA and CAA "contain the same directive and embody the same policy." (*Id*. at p. 1133.)

II. LOSS OF THE RIGHT TO ARBITRATE.

A. The Equal Treatment Principle.

Because arbitration agreements are on "equal footing" with other contracts, the right to arbitrate "may be lost, as any contractual right [that] exists in favor of a party may be lost." (*Gunderson v. Superior Court* (1975) 46 Cal.App.3d 138, 143, disapproved on other grounds in *Doers v. Golden Gate Bridge* (1979) 23 Cal.3d 180, 185-186.) Under both federal and California law, "a party may, as a result of its litigation conduct, lose its right to compel arbitration on various grounds." (*Quach, supra*, 551 P.3d at p. 1137.)

For example, in *Morgan v. Sundance*, the United States Supreme Court considered whether a party loses its contractual right to arbitrate by pursuing its claims in court. (*Morgan, supra*, 596 U.S. at p. 416.) The parties "quarreled about whether to understand that inquiry as involving rules of waiver, forfeiture, estoppel, laches, or procedural timeliness." (*Ibid*.) Without

discounting that any of those theories could apply, the high Court followed the Courts of Appeals and considered the issue "using the terminology of waiver." (*Id.* at pp. 416-417 [citing *United States v. Olano* (1993) 507 U.S. 725, 733 [under federal law, waiver is the "intentional relinquishment or abandonment of a known right"].) Ultimately, consistent with the FAA's purpose to "to place such agreements upon the same footing as other contracts," the Court held that the standard for waiver of the contractual right to arbitrate must be the same as the standard for waiver of other contractual rights. (*Id.* at p. 417.)

In *Quach*, this Court considered the same question under the CAA and came to the same conclusion. The Court emphatically endorsed the equal treatment principle as a bedrock of California arbitration law. (*Quach, supra*, 551 P.3d at p. 1136.) The Court explained that California's policy "'favoring' arbitration, like the federal policy, 'is about treating arbitration contracts like all others, not about fostering arbitration.'" (*Id.* at p. 1134 [quoting *Morgan, supra*, 596 U.S. at p. 418].) In cases where the CAA applies, the standard for waiver of the contractual right to arbitrate is the same as the standard for waiver of other contractual rights under California law. (*Id.* at p. 1137 [citing *Lynch v. California Coastal Com.* (2017) 3 Cal.5th 470, 475 [under California law, waiver is the intentional relinquishment or abandonment of a known right].)

Thus, under both the FAA and CAA, "in determining whether a party to an arbitration agreement has lost the right to arbitrate . . . a court should treat the arbitration agreement as it

would any other contract, without applying any special rules based on a policy favoring arbitration." (*Quach, supra*, 551 P.3d at p. 1134.) Courts should apply the same rules "that they would apply to any other contract." (*Id.* at p. 1136.) Each state contract law defense, "such as forfeiture, estoppel, laches [and] timeliness," should be "separately evaluate[d]" and not "lump[ed] . . . into a catch-all category called 'waiver.'" (*Id.* at p. 1137.)

B. Loss of the Right to Arbitrate Based on Nonpayment.

1. The law before the enactment of sections 1281.97 *et seq.*

Before the enactment of sections 1281.97 *et seq.*, a party's failure to pay monies owed to the arbitrator could result in that party's loss of the right to arbitrate and compel arbitration. (See *Hernandez v. Sohnen Enter. Inc.* (2024) 102 Cal.App.5th 222, 233 ("*Hernandez*").)

The two leading decisions were issued by the Ninth Circuit. Both cases involved employers that agreed to arbitrate but refused to pay the arbitrator's fees. (*Brown v. Dillards* (9th Cir. 2005) 430 F.3d 1004 ("*Brown*"); *Sink v. Aden Enterprises, Inc.* (9th Cir. 2003) 352 F.3d 1197 ("*Sink*"). In *Brown*, the Court held that a company's "refus[al] to participate in the arbitration proceedings at all" would amount to a material breach of the arbitration agreement under "general principles of California contract law." (*Brown, supra*, 430 F.3d at pp. 1006, 1010.) The *Brown* Court also "note[d] that if [it] were to approach this as a waiver case, [it] would have no difficulty finding that [the company] waived its right to arbitrate." (*Id.* at p. 1012.) Similarly, in *Sink*, the company's "failure to pay . . . was a

material breach" because it "imped[ed] the arbitration to the point where the arbitrator cancelled the arbitration." (*Sink*, *supra*, 352 F.3d at p. 1201.) In both cases, the Courts resoundingly allowed the employees to pursue their claims in court.

These cases instruct that whether a party has materially breached its arbitration agreement depends on the circumstances. (*Brown*, *supra*, 430 F.3d at pp. 1004-06, 1010-13 [remanding for factual findings]; *Sink*, *supra*, 352 F.3d at p. 1199 [considering the question of default to be "one of fact" and reviewing for clear error]; *Cox v. Ocean View Hotel Corp*. (9th Cir. 2008) 533 F.3d 1114, 1123-24 [explaining that *Brown*'s determination of breach was "based on the facts"].)

In cases where the arbitration was stalled, and especially where the arbitrator closed the case due to nonpayment, courts hold that the breach is material, and the breaching party has lost the right to arbitrate.[5] In cases where the nonpayment did not

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[5] For example, relying on *Brown* and *Sink*, the Supreme Court of New Jersey held that a party's failure to pay fees "that results in the dismissal of the arbitration claim deprives a party of the benefit of the agreement . . . and amounts to a material breach." (*Roach v. BM Monitoring, LLC* (2017) 228 N.J. 163, 176-81.) The Court cautioned that the determination of "material breach . . . must be made on a case-by-case basis." (*Id.* at p. 181.; see also, *Pre-Paid Legal Services, Inc. v. Cahill,* (10th Cir. 2015) 786 F.3d 1287, 1294; *Eliasieh v. Legally Mine, LL*C (N.D. Cal. Apr. 21, 2020 Nos. 18-cv-036220JSC, 19cv-04977-JSC) 2020 WL 1929244, *3 ["Defendant's failure to pay . . . leading to the termination of the arbitration was a material breach"]; *Nadeau v. Equity Residential Properties Management* (S.D.N.Y. 2017) 251 F.Supp.3d 637, 640-42, 644 [where an employer "failed to submit payment" and the AAA "administratively closed [its] file," the employer's "refusal to

affect the schedule, breach is likely immaterial, and the right to arbitrate is not forfeited. (*Lee v. Citigroup Corporate Holdings, Inc.* (N.D. Cal. 2023) 691F.3d 1157, 1160-61 [explaining that the focus is on whether there has been a "termination of the arbitration due to Defendant's non-payment of fees"].)[6]

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arbitrate constitute[d] a material breach of the Arbitration Agreement"] (relying on *Brown*); *Bruzda v. Sonic Automotive* (D. Colo. Jan. 23, 2017 No. 16-cv-02413) 2017 WL 5178967, *4-5 ["Defendant forfeited its ability to enforce the arbitration agreement when AAA administratively closed the parties' case because of Defendant's failure to pay fees."]; *Gomez v. MLB Enterprises* (S.D.N.Y June 5, 2018, No. 15-cv-3326) 2018 WL 3019102, * 12 [refusal to pay arbitration costs was material where "AAA closed [plaintiffs'] cases" and otherwise plaintiffs "would have no remedy"].)

[6] Other courts have reached the same result. In *Brunner v. Lyft, Inc.*, the Court refused to lift the arbitration stay after Lyft missed a payment deadline. (*Brunner v. Lyft, Inc.* (N.D. Cal. Nov. 14, 2019, No. 19-cv-04808-VC) 2019 WL 6001945, *2 ["[E]ven if [a] failure to pay . . . technically breached the agreement, Lyft presented unrebutted evidence that the arbitration . . . was not delayed by the late payment."].) In *N. St., LLC v. Clipper Constr., LLC* (E.D. La. Sept. 2, 2010, No. 08-4604) 2010 WL 3523025, *3, the Court denied a motion to lift the stay on grounds it was "premature" because "unlike the arbitrator in *Sink*, the arbitrator has not entered an order . . . [of] default." Subsequently, the arbitrator dismissed the arbitration for non-payment of fees, and the Court then granted a renewed motion to lift the stay. (*N. St., LLC v. Clipper Constr., LLC* (E.D. La. July 10, 2012, No. CV 08-4604) 2012 WL 12986721, at *1; see also *Thompson v. Ford of Augusta* (D. Kan. Feb. 15, 2019, No. 18-2512) 2019 WL 652396, *5-6, fn. 35 [company did not waive right to arbitrate where it "did not ignore repeated warnings from the AAA" and "the AAA did not terminate the arbitration proceeding based on Defendant's failure to pay filing fees"].)

A year before the enactment of SB 707 (the legislation codified at sections 1281.97-1281.99), the Northern District of California issued a decision that illustrates the intolerance of delay, as well as the profound change in the law that was about to take place. In *McLellan v. Fitbit, Inc.*, (N.D. Cal. July 24, 2018 No. 3:16-cv-00036) 2018 WL 3549042, *3-4, the Court "expressed strong concern" about Fitbit's failure to pay AAA's filing fees, and Fitbit paid the next day. The Court later rejected the argument that the short delay materially breached the agreement. The Court applied "well-settled" law under *Brown* and consistent with the FAA:

> McLellan has not shown that a slow payment of filing fees, as opposed to no payment at all, is sufficient grounds to foreclose arbitration. Such a proposition is doubtful under contract law. Aside from a special circumstance where the contract specifies that time is of the essence, a short delay in performance typically does not result in a material breach excusing the other side from its obligations . . . . But the undisputed facts show that no more than a few weeks passed between the initial fee deadline and Fitbit's actual payment, and AAA never suspended or terminated the proceedings . . . In these circumstances, a finding of material breach or default would be tantamount to a "defense that is only applicable to arbitration agreements," which the FAA does not permit.

(*Id.* at p. *5.) However, the Court concluded that Fitbit's 3-week delay "impeded the arbitration on frivolous grounds" and this was an "exceptional case" warranting sanctions. (*Id.* at pp. *6-7.)

The reasoning employed in *Brown* and *Sink,* along with *McLellan* and a litany of other authorities following those

decisions, was sound, consistent with the federal and state arbitration acts, and ensured a just result. Further, because it was based on traditional principles of contract law and widely adopted, there was uniformity in decisions and no incentive to forum shop. As described below, California abandoned this framework in favor of a law that, as interpreted by the Courts of Appeal, has none of these attributes and is fundamentally inconsistent with the concept of arbitration itself.

2. The enactment and enforcement of sections 1281.97 *et seq*.

In 2019, California took aim at agreements between employers and employees to resolve their disputes privately, which some lawmakers dubbed as "forced arbitration." At the time, the Legislature expressed frustration with the "lengthy and extensive history" of courts "striking down state laws that discriminate against arbitration agreements." (Sen. Com. on Judiciary Rep. on Assem. Bill No. 51 (2019-2020 Reg. Sess.) p.7.) The Legislature employed new strategies to craft legislation, which resulted in the law having "unusual structure." (*Chamber of Commerce of the United States of America v. Bonta* (9th Cir. 2023) 62 F.4th 473, 484 ("*Bonta II*") [describing sister bill AB 51].) The Supreme Court has cautioned the need to "be alert to new devices and formulas" that "declar[e] arbitration against public policy." (*Epic Systems Corporation v. Lewis* (2018) 584 U.S. 497, 509 ("*Epic Sys*.").)

SB 707, which added sections 1281.97 through 1281.99 to the CAA, created three new statutory provisions setting forth requirements for the payment of arbitration costs. Section 1281.97 creates new obligations with respect to payment of initial fees

owed to arbitrators for the arbitration to commence. Section 1281.98 creates new obligations with respect to payment of fees owed after the arbitration has begun. Section 1281.99 creates additional penalties for non-compliance with the requirements of sections 1281.97 and 1281.98.

These laws apply only to consumer and employment arbitrations and no other contracts. They impose substantial burdens on employer/business parties. They impose no additional burdens on employee/consumer parties, and in fact, afford employees and consumers new ways to unilaterally withdraw from arbitration and litigate their claims in court.

New Requirements Imposed on Arbitrators and Constraints on Their Authority: First, the law imposes new requirements on arbitrators by mandating that arbitrators "immediately" issue invoices. (§ 1281.97, subd. (a)(2).) Furthermore, arbitrators are divested of all authority to set when payment for their services is due. Arbitrators no longer have authority to extend the deadline to make payment. Instead, arbitrators must issue invoices as "due on receipt," and any extension of time "shall be agreed upon by all parties." (§ 1281.98, subd. (a)(2).)

New Requirements Imposed on Drafting Parties: Second, the law imposes new requirements on the parties who drafted the governing arbitration agreements, *i.e.*, employers and businesses. Specifically, the law requires drafting parties to immediately pay invoices issued by arbitrators, regardless of whether there is any merit to the demand, whether the party seeks

to transfer the dispute to another forum, or whether the invoiced amount is correct. (§ 1281.97, subd. (a); § 1281.98, subd. (a).)

Consequences For Non-Compliance: Third, the law imposes severe consequences on employers and businesses that do not pay an arbitrator's invoice within 30 days:

- The party is deemed to be "in material breach of the arbitration agreement;"
- The party is deemed to be "in default of the arbitration;"
- The party "waives its right to compel arbitration;" and
- The party is required to pay "reasonable expenses, including attorney's fees and costs" resulting from the material breach, and risks more severe discretionary sanctions, including terminating sanctions and being held in contempt without any prior court order or notice.

(§ 1281.97, subd. (a); § 1281.98, subd. (a); § 1281.99.) In short, once an arbitrator has issued an invoice, if payment is not made by the stroke of midnight on the 30th day, the drafting party forfeits all of its contractual rights under the arbitration agreement. The employee or consumer can choose whether to proceed in arbitration or pursue the claims in court. (§ 1281.98, subd. (b).) And in either case, the noncompliant party is subject to mandatory penalties. (§ 1281.99.)

California appellate courts interpret sections 1281.97 *et seq*. as an unambiguous legislative mandate that "requires strict enforcement" and provides for "no exceptions." (*Espinoza v. Superior Court* (2022) 83 Cal.App.5th 761, 775, 758 ("*Espinoza*").)

The result is that objectively insignificant conduct is legislatively decreed to be "material" and amount to "waiver" of an important contractual right.

In this case, Hohenshelt did not oppose Golden State Foods' motion to compel arbitration, and the parties arbitrated for over a year. Although the July and August 2022 invoices were not paid within 30 days, those invoices were sent shortly after the arbitrator provided formal notice that she would be unavailable through September. Then, upon receiving the arbitrator's Request to Post Fees, Golden State Foods promptly paid the arbitrator over $40,000 before the specified due date. The arbitrator accepted payment and was prepared to proceed with no change to the schedule. (Pet. Appx. at pp. 313-14.) Nonetheless, the Court of Appeal ruled that section 1281.98 forfeited Golden State Foods' contractual right to arbitrate by operation of law. (*Hohenshelt*, *supra*, 99 Cal.App.5th at pp. 1324-25.)

Several other cases demonstrate the inflexibility of the law. In one case, a party "waived" its right to arbitrate because a clerical error delayed payment by a few weeks. (*Espinoza, supra*, 83 Cal.App.5th at p. 772.) In another case, parties "waived" their right to arbitrate even though they sent a check in the mail before the 30th day. (*Doe v. Superior Ct.* (2023) 95 Cal.App.5th 346, 357-58, *as modified* (Sept. 28, 2023) [holding that "paid within 30 days" under section 1281.98 requires payment to be "received" by the 30th day].) In yet another case, payment received one day late after the New Year holiday was sufficient to find waiver as a matter of

law. (*Suarez v. Superior Court of San Diego* (2024) 99 Cal.App.5th 32, 38-41 ("*Suarez*").)[7]

These courts have rejected arguments that the statutes should be interpreted with some elasticity in light of the identified harm the law sought to redress (instances where employees and consumers are stuck in "procedural limbo"). (*Espinoza, supra*, 83 Cal.App.5th at p. 778 ["Defendant argues that *Sink* . . . does not support a finding of material breach . . . [w]ere the relevant language of section 1281.97 ambiguous, arguably we would look to *Sink* . . . [but it] is not."].)

As Golden State Foods argued before the trial court, if the statute is interpreted so harshly and without exceptions that the right to arbitration is readily lost, then "[c]ertainly a result like that could only be considered a contravention of the FAA." (Pet. Appx. at p. 327.)

III. THE FAA PREEMPTS SECTIONS 1281.97 ET *SEQ*.

A. Governing Principles.

"To ensure that arbitration agreements are enforced according to their terms, the FAA preempts all state laws that apply of their own force to limit those agreements against the

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[7] See also *Williams v. West Coast Hospitals, Inc.* (2022) 86 Cal.App.5th 1054, 1074-76 [holding that the provisions do not "permit an inquiry into the reasons for a drafting party's nonpayment"]; *De Leon v. Juanita's Foods* (2022) 85 Cal.App.5th 740, 753-755 [section 1281.98 "establishes a simple bright-line rule" and courts have no "discretion to consider . . . additional factors]; *Cvejic, supra,* 92 Cal.App.5th at 1077-79 (Wiley, J.) ["[L]egislative history and caselaw direct . . . strict[] enforce[ment]"].)

parties' will or to withdraw the power to enforce them. … Although state law may be applied to regulate contracts, including arbitration clauses, *if* that law arose to govern issues concerning the validity, revocability, and enforceability of contracts generally, courts may not invalidate arbitration agreements under state law contract principles applicable only to arbitration provisions, and that therefore disfavor such contracts, or single them out for 'suspect status.'" (*Cronus*, *supra*, 35 Cal.4th at p. 385, quotation marks omitted, emphasis original.) *Any rule* that "interfere[s] with such contracts" is preempted. (*Coventry Health Care of Mo., Inc. v. Nevils*, (2017) 581 U.S. 87, 98 ("*Coventry*").)

The FAA "limits the grounds for denying enforcement of 'written provision[s] in ... contract[s]' providing for arbitration, thereby preempting state laws that would otherwise interfere with such contracts." (*Coventry, supra,* 581 U.S. at p. 98.) It "pre-empts state laws which require a judicial forum for the resolution of claims which the contracting parties agreed to resolve by arbitration." (*Southland Corp. v. Keating* (1984) 465 U.S. 1, 10 ("*Southland*").)

The FAA preempts any state law where it is impossible to comply with both the state and federal law. (*Silkwood v. Kerr-McGee Corp.* (1984) 464 U.S. 238, 248 ("*Silkwood*").) Impossibility preemption derives from the last clause of Section 2 of the FAA, which provides that arbitration agreements are enforceable "save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.)

This clause allows arbitration agreements to be invalidated by "generally applicable contract defenses," but not by "defenses that apply only to arbitration." (*Concepcion, supra,* 563 U.S. at p. 339.) To fall within the savings clause, the state law must put arbitration agreements on the same plane and equal footing as other contracts. (*Kindred Nursing Centers Ltd. P'ship v. Clark* (2017) 581 U.S. 246, 248, 252 ("*Kindred*"); *Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1171 ("*Sonic-Calabasas A, Inc.*") ["The FAA requires courts to place arbitration agreements on equal footing with other contracts."].)

"Courts may not . . . invalidate arbitration agreements under state laws applicable *only to* arbitration provisions." (*Doctor's Assocs., Inc. v. Casarotto* (1996) 517 U.S. 681, 687, emphasis in original ("*Doctor's Assocs. Inc.*").) "If a state law "arose to govern issues" specifically related to arbitration agreements, the law "does not comport with [the text of § 2]." (*Id.* at p. 685 [quoting *Perry v. Thomas* (1987) 482 U.S. 483, 493, fn. 9].) "A state rule interferes with arbitration if it discriminates against arbitration on its face." (*Bonta II, supra,* 62 F.4th at p. 483.)

The FAA preempts any state law that "stands as an obstacle to the accomplishment of the [FAA's] full purposes and objectives…." (*Silkwood, supra,* 464 U.S. at p. 248.) The Supreme Court and this Court have recognized certain specific circumstances, described below and existing here, which mandate federal supremacy.

B. Sections 1281.97 et *seq.* Violate the Equal Treatment Principle.

To be on the "same plane" as other contracts, arbitration agreements must be interpreted and enforced "in the same way" as other contracts. (*DirectTV, Inc. v. Imburgia* (2015) 577 U.S. 47, 55 ("*Imburgia*") ["equal footing" means courts must "interpret contracts other than arbitration contracts the same way"]; see also, *Morgan, supra*, 596 U.S. 411 at p. 418 ["same footing" means courts "must hold a party to its arbitration contract just as the court would to any other kind"]; *Prima Paint Corp., supra,* 388 U.S. p. 404, fn. 12 [the purpose of FAA § 2 is to make arbitration agreements "as enforceable as other contracts"].)

Thus, in *Imburgia*, the Supreme Court rejected a California appellate court's interpretation of the phrase the "law of your state" in an arbitration agreement to include "invalid" law because the interpretation was "unique" to arbitration contracts. (*Imburgia*, 577 U.S. at p. 56 ["[N]othing in the Court of Appeal's reasoning suggests that a California court would reach the same interpretation of 'law of your state' in any context other than arbitration."].) The appellate court's interpretation did not "place arbitration 'on equal footing with all other contracts,'" and thus was preempted by the FAA. (*Id*. at p. 58.)

Under sections 1281.97 *et seq*., arbitration agreements are not on the "same plane" as other contracts. The payment requirements are more stringent than other service contracts. Arbitrators "shall immediately provide an invoice." (*Id*. § 1281.97, subd. (a)(2).) The law requires employers and businesses to pay those invoices immediately. Payment must be made regardless of

whether the party even has the ability to pay. Further, the short 30-day window has the potential to put a drafting party in an untenable position of choosing between paying initial filing fees (and risking sanctions under sections 1281.97 *et seq*.) or simply paying the claim—even if there is a legitimate basis to transfer the action to another forum.

As to the due date for payment, the general rule for service contracts is "payment is not due until the services are completely performed." (*Hagan v. McNary* (1915) 170 Cal. 141, 143; *Est. of Fincher* (1981) 119 Cal.App.3d 343, 353.) Further, payment must be made "within a reasonable time." (*Phillips v. Deck* (1888) 76 Cal. 384, 386.) [8] By contrast, under sections 1281.97 and 1281.98, payment is "due upon receipt" of the arbitrator's invoice. (§ 1281.97, subds. (a)(1), (a)(2); § 1281.98, subds. (a)(1), (a)(2).)

As to the materiality of missing the due date, Justice Wiley's dissent pinpoints the issue: "No other contracts are voided on a hair-trigger basis due to tardy performance" (*Hohenshelt, supra*, 99 Cal.App.5th at p. 318 [dis. opn., Wiley, J.].) "Only arbitration contracts face this firing squad." (*Ibid*.)

Under California law, "material breach excuses performance by the innocent party." (*De Burgh v. De Burgh* (1952) 39 Cal.2d 858, 863; *Superior Motels, Inc. v. Rinn Motor Hotels, Inc.* (1985)

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[8] (See also *Fineberg v. Niekerk* (1985) 175 Cal.App.3d 935, 938 [where a contract is silent on the time for payment, it is "payable within a reasonable time"].) Of course, providers of arbitration services typically specify when the payment is to be made in their agreements and fee schedules. (*Hagan, supra*, 170 Cal. at p. 143; Pet. Appx. at pp. 55-65 [JAMS Fee Schedule].)

195 Cal.App.3d 1032, 1051 [collecting cases].) Whether there has been a breach, and whether a breach is material, are questions of fact. (*Brown v. Grimes* (2011) 192 Cal.App.4th 265, 277 (collecting cases); *Superior Motels, Inc., supra,* 195 Cal.App.3d at p. 1051.)[9] These issues must be resolved on a case-by-case basis and "cannot be settled by formula." (*Superior Motels, Inc., supra* 195 Cal.App.3d at p. 1051.)

The general rule in California is "that time is *not* of the essence." (*Leiter v. Handelsman* (1954) 125 Cal.App.2d 243, 250, emphasis added; *Miller v. Cox* (1892) 96 Cal. 339, 345 [the "intent to make time of the essence of the contract" must be shown "clearly, unequivocally, and unmistakably"].)

Furthermore, California courts *will not allow* forfeiture of an important contractual right based on a short delay in performance. This is a foundational principle and codified law. (Cal. Civ. Code § 1492; *MacFadden v. Walker* (1971) 5 Cal.3d 809, 811 (1971) (*in banc*) [the "policy against forfeitures precludes denying the right to specific performance" even where there has been a "willful

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[9] Late payment is "*not automatically*" material even where the contract has a "provision . . . making time of the essence." (*Magic Carpet Ride LLC v. Rugger Investment Group* (2019) 41 Cal.App.5th 357, 360, emphasis added.) Moreover, breaches can be waived, justified, or excused; parties can be estopped; and equity otherwise can prevent forfeiture. (*Whitney Inv. Co. v. Westview Dev. C*o. (1969) 273 Cal.App.2d 594, 603; *Galdjie v. Darwish* (2003) 113 Cal.App.4th 1331, 1339 ["Like any other contractual terms, timeliness provisions are subject to waiver by the party for whose benefit they are made."].)

failure to make . . . payments when due" under a "contract in which time is declared to be of the essence"].)

By contrast, under sections 1281.97 *et seq*., even short delay is deemed material, and operates to forfeit the right to arbitrate, by operation of law. (§ 1281.97, subd. (a); § 1281.98, subd.(a).) The determination is improperly based on a formula—not on a case-by-case basis by a trier of fact.

Thus, sections 1281.97 *et seq*. "directly conflict[] with § 2 of the FAA because the State's law conditions the enforceability of arbitration agreements on compliance with a special [payment] requirement not applicable to contracts generally." (*Doctor's Assocs., Inc., supra,* 517 U.S. at pp. 688.) As Justice Wiley emphasized, sections 1281.97 *et seq*. violate the equal treatment principle because they "single[] out arbitration agreements for disfavored treatment." (*Hohenshelt*, *supra*, 99 Cal.App.5th at p. 1328 [dis. opn. of Wiley, J.] [quoting *Kindred, supra*, 581 U.S. at p. 248]; see also 9 U.S.C. § 2; *Hernandez, supra,* 102 Cal.App.5th at pp. 243-44 [section 1281.97 "violates the equal-treatment principle because it mandates findings of material breach and waiver for late payment that do not apply generally to all contracts or even to all arbitrations"]; *Belyea, supra*, 637 F.Supp.3d at p. 756 [the law is preempted because it makes "arbitration provisions unenforceable on arbitration-specific grounds"].)

It is a basic proposition that state law cannot simply redefine a traditional contract defense only for an arbitration agreement to fall within the savings clause. Allowing this would "make it trivially easy for States to undermine the Act." (*Kindred, supra*,

581 U.S. at p. 248].) Any such attempt must be invalid and preempted under the FAA.

In addition, under sections 1281.97 *et seq*., the consequences of not paying an arbitrator's invoice within 30 days are not the same as the consequences for breaching other agreements or waiving other contractual rights. The law mandates imposition of monetary sanctions, and parties face the threat of terminating sanctions and being held in contempt without any prior notice. (§ 1281.99, subd. (b).) Thus, not only does the statutory scheme make it much easier to breach arbitration agreements, but it makes the consequences of that breach much more severe. (*United States v. Wilson* (1975) 421 U.S. 309, 327 (dis. opn. of Brennan, J.) ["[S]ummary punishment for contempt 'always, and rightly, is regarded with disfavor' in light of the 'heightened potential for abuse posed by the contempt power,' and is to be resorted to only when necessary for 'immediate penal vindication of the dignity of the court.'" (citations omitted)].)

On this issue, the Ninth Circuit's consideration of SB 707's sister bill, AB 51, is instructive. There, the court explained that "the threat of criminal and civil liabilities is intended to have a deterrent effect," and AB 51 "deter[ed] an employer from including non-negotiable arbitration requirements in employment contracts by imposing civil and criminal sanctions on any employer who does so." (*Bonta II, supra*, 62 F.4th at p. 486.) This alone is a sufficient obstacle to preempt these statutory provisions. (*Id.* at pp. 487, 490 ["[I]t is clear that the penalties [will] inhibit an employer's willingness to create an arbitration contract with employees"].)

It is not an exaggeration to say that sections 1281.97 *et seq*. elevate every arbitration agreement to a higher plane than all (or nearly all) contracts and places their force somewhere around that of a consent decree entered by the Court, if not higher. Citizens of California can breach their mortgage contracts, marriage contracts, and agency contracts without being subject to mandatory sanctions. Golden State Foods is not aware of any other contract on this apex "plane."

C. Additional Reasons Why Sections 1281.97 *et seq.* Are Preempted by the FAA.

1. The FAA preempts sections 1281.97 *et seq.* because they interfere with fundamental attributes of arbitration.

The hallmark of arbitration is "individualized and informal form . . . protected from undue state influence." (*Viking River Cruises, Inc. supra,* 596 U.S. at p. 640.) Thus, arbitration is "intended to provide a simple, final dispute resolution mechanism, *independent of* . . . compulsory reliance on *either procedural or substantive law imposed by statutes*." (*Rifkind, supra,* 28 Cal.App.4th at pp. 1291-92, emphasis added [if "state involvement" in arbitration is expanded, the "simplicity, informality, and private nature of arbitration would be seriously undermined"].)

Forcing arbitration to incorporate "all the procedural accoutrements that accompany a judicial proceeding" undermines "the point of arbitration," which is that one "trades the procedures and opportunity for review of the courtroom for the simplicity, informality, and expedition of arbitration." (*Mitsubishi Motors*

Corp. v. Soler Chrysler-Plymouth, Inc. (1985) 473 U.S. 614, 628.) It is the informality, "itself desirable," that stands in contrast to the rigid constraints of state rules of procedure and is the "principal advantage of arbitration." (*Concepcion, supra,* 563 U.S. at pp. 345, 348.)

Here, sections 1281.97 *et seq*. are preempted by the FAA because they interfere with the fundamental aspects of arbitration in several respects:

First, the statutes require arbitrators to issue invoices according to a specified schedule, while at the same time stripping arbitrators of the authority to decide issues of waiver, delay, and time limits. (§ 1281.97, subd.(a); § 1281.98, subd.(a).) Those are issues that the "parties would likely expect that an arbitrator would decide." (*Howsam v. Dean Witter Reynolds, Inc.* (2002) 537 U.S. 79, 84-85 ("*Howsam*"); *Moncharsh v. Heily & Blasé* (1992) 3 Cal. 4th 1, 33, 832 ["[J]udicial review of the arbitrator's decision" amounting to "an ordinary fee dispute" is "unavailable"].) This effectively transforms arbitrators into puppets of the state and forces parties to submit to a neutral who is impotent over his or her own financial affairs.

Second, sections 1281.97 *et seq*. eliminate individualized determination of waiver and breach of contract, and reduce those determinations to a formula crafted by the state. (§ 1281.97, subd.(a); § 1281.98, subd.(a).) That is antithetical to the concept of arbitration. (*Lamps Plus, Inc. v. Varela* (2019) 587 U.S. 176, 184-85, 188 ("*Lamps Plus, Inc.*") [explaining that one of arbitration's "fundamental attributes" as "envisioned by the FAA" is its

"individualized form"]; *Sonic-Calabasas A, Inc., supra*, 57 Cal.4th at p. 1149 ["[C]]ase-by-case application" of enforceability of arbitration agreements "tend[s] to promote the FAA's objectives" rather than lead to "procedural rigor."].)

Third, the law infuses procedural rigor stricter than judicial proceedings into the arbitral forum. For example, under California Rules of Court, rule 8.220, if a party "fails to timely file" a brief, the clerk provides notice and an additional 15-day window to file. (Cal. Rule Ct. 8.220(a).) By contrast, a single late payment under section 1281.97 or 1281.97 results in forfeiture of the right to arbitrate. (§ 1281.97, subd.(a); § 1281.98, subd.(a).) That type of strict liability offends the individuality and flexibility inherent to arbitration. (*Lamps Plus, Inc., supra,* 587 U.S. at pp. 184-85 [explaining that the FAA "envision[s] . . . [that] parties [will] forgo the procedural rigor . . . of the courts"].)

Fourth, the law authorizes employees and consumers to seek and obtain judicial relief during the pendency of the arbitration. (§ 1281.97, subd.(b)(3) [employees and consumers can "[p]etition the court for an order compelling the drafting party to pay all arbitration fees"].) Essentially, employees and consumers can make a pit stop at the courthouse to obtain sanctions and then head back to the arbitral forum. That is fundamentally inconsistent with the expectation to have no contact with the courts after agreeing to arbitrate. (*McRae v. Superior Ct. for Los Angeles Cnty.* (1963) 221 Cal.App.2d 166, 171 ["When it has been determined that arbitration should be pursued and all judicial proceedings have been suspended until completion of the

arbitration, it would be wholly incompatible with established policies of the law to permit the court thereafter to intervene in, and necessarily interfere with, the arbitration ordered."].)

2. *Gallo* does not support the result in this case.

In concluding that the FAA does not preempt sections 1281.97 *et seq*., the majority below relied principally on *Gallo*. Such reliance was misplaced. There, the parties' arbitration agreement expressly incorporated the CAA, and this fact was so significant to the Court that it highlighted it at least six times. (*Gallo, supra*, 81 Cal.App.5th at pp. 630, 639, 640, 642, 643, 645.) Because the parties agreed the apply the CAA, applying sections 1281.97 *et seq*. to their arbitration "fulfilled the FAA's mandate that arbitration agreements be enforced "according to their terms." (*Id. at p.* 642 ["Applying these sections in this case does not interfere with the FAA's first goal of honoring the parties' intent . . . because [they] . . . signed an arbitration agreement that incorporated the "California Arbitration Act."].) This is why the *Gallo* court qualified its holding that section 1281.97 is not "preempted by the FAA," by stating "at least where, as here, the parties have agreed to incorporate the CAA into their agreement to arbitrate." (*Ibid*.)

Implicit in *Gallo's* reasoning is that, in cases like this one—where the parties *did not* agree to be bound by the CAA's requirements—requiring them to comply with 1281.97 *et seq*. *would* violate the "FAA's first goal of honoring the parties' intent." (*Ibid*.) Here, the Arbitration Agreement does not include a single reference to the CAA. Golden State Foods did not agree (a) to pay the arbitrator's invoices within 30 days; (b) that Hohenshelt is

authorized to unilaterally withdraw from the arbitration if that deadline is not met; (c) to automatically deem any late payment a material breach and waiver of its rights; or (d) to expose itself to the risk of contempt sanctions without any prior notice. (Pet. Appx. at p. 35) By imposing the requirements under sections 1281.97 *et seq.* on the parties, the majority below effectively rewrote the Arbitration Agreement in direct contravention of the FAA. (*Volt, supra,* 489 U.S. at p. 479; *Sonic-Calabasas A, Inc, supra,* 57 Cal.4th at p. 1143 ["courts may not rewrite agreements and impose terms to which neither party has agreed"]. Thus, the majority's reliance on *Gallo* was misplaced.

Furthermore, the majority below held that sections 1281.97 *et seq*. are not preempted because they are "pro-enforcement," and promote "speedy" resolution. (*Hohenshelt*, *supra*, 99 Cal.App.5th at pp. 1324-26, quoting *Gallo, supra*, 81 Cal.App.5th at p. 645 ["This incentive to speed arbitration . . . means the California statute 'is a friend of arbitration and not its foe"].)[10]

However, the "speedy" nature of arbitration does not justify state regulation of its timing. If it did, that would permit a rule requiring all arbitrations to be complete in one day. The speed of arbitration is *not* the result of deadlines imposed by the state. It is the opposite—they derive from the informality and simplicity of the proceedings. (*Concepcion, supra*, 563 U.S. at p. 345

[10] In cases where the FAA applies, this is the principal defense of the statutory scheme adopted by the lower courts. (*Agerkop v. Sisyphian LLC* (C.D. Cal. Apr. 14, 2021, Case No. CV-19-10414) 2021 WL 1940456, p. *4; *Suarez, supra*, 99 Cal.App.5th at pp. 42-43; *Espinoza, supra*, 83 Cal.App.5th at pp. 783-84.)

["informality . . . reduc[es] the cost and increase[es] the speed of dispute resolution"]; *Baker v. Sadick* (1984) 162 Cal.App.3d 618, 628 ["[E]xpeditious and economical solution of disputes . . . are accomplished in part by minimizing the formalities and trappings in arbitration which are adherent in litigation."].)

For this reason, if "a state-law rule interferes with fundamental attributes of arbitration, the FAA preempts the state-law rule even if the rule is designed to facilitate prosecution of certain kinds of claims." (*Sonic-Calabasas A, Inc., supra*, 57 Cal.4th at p. 1157; *W. Bagel Co., Inc. v. Superior Ct. of Los Angeles Cnty.* (2021) 66 Cal.App.5th 649, 662-63 ["The FAA precludes states from requiring a procedure that interferes with fundamental attributes of arbitration, even if it is desirable for unrelated reasons" (quotation marks omitted)].)

The reasoning employed by this Court in *Quach* and the Supreme Court in *Morgan* establishes, without a doubt, that sections 1281.97 *et seq*. are not "pro-arbitration" rules. The issue in both cases was whether "a court may create [] procedural rules" based on the so-called "policy favoring arbitration." (*Quach, supra*, 551 P.3d at p. 1123.) To "favor arbitration," both federal and California courts applied a standard for waiver of the right to arbitrate that was *higher* than the standard applicable for waiver of other contractual rights. (*Id.* at p. 1133.) To establish waiver of the right to arbitrate, an "additional showing" (of prejudice) was required. (*Ibid*.) Stated otherwise, the rule "favored arbitration" because it made it *harder* to waive the right to arbitrate.

The necessary corollary to this principle is that an arbitration-specific rule that makes it *easier* to waive the right to arbitrate *disfavors* arbitration. For the reasons explained above, under sections 1281.97 and 1281.98, it is much easier for a party to forfeit the right to arbitrate, and therefore the statutes disfavor arbitration. (*Hernandez, supra*, 102 Cal.App.5th at p. 244 ["Imposing a higher standard for enforcement of arbitration agreements . . . is contrary to the FAA's policy to ensure arbitration agreements are as enforceable as other contracts"].)

Furthermore, even assuming sections 1281.97 *et seq*. foster arbitration generally, reversal would still be mandated here. The text of section 2 does not allow the application of a "pro-arbitration" rule to prohibit the enforcement of an arbitration agreement. (9 U.S.C. § 2.) Thus, section 1281.98 would still be preempted as applied. Moreover, although *Quach* did not decide the issue, the FAA does preempt special, arbitration-preferring procedural rules enacted at the state level. *Morgan* "cit[ed] cases interpreting section 2" and "relied on [the] equal footing principle to support its conclusion." (*Quach, supra*, 551 P.3d at p. 1134.) Finally, *Quach* emphasized the need to apply "the same principles when determining whether a party has lost the right to compel arbitration under the CAA as under the FAA," in order to achieve uniformity and avoid injecting "uncertainty into the law." (*Id*. at p. 1136.)

Additionally, for several reasons, sections 1281.97 *et seq*. are more likely to delay resolution of disputes than expedite it:

First, the operation and remedies of the statutes themselves foster delay. They authorize employees and consumers to withdraw from an arbitration upon a single missed payment to the arbitrator. (§§ 1281.97, subd. (a), 1281.98, subd. (a).) Thus, the statutory provisions "frustrate[] the FAA's objectives of cheaper, more efficient resolution of disputes by increasing the overall cost of litigation and wasting resources already invested toward arbitration." (*Hernandez, supra*, 102 Cal.App.5th at p. 244.)

Second, the statutes have led to, and will continue to lead to, "dispute[s] . . . over the procedures to be followed . . . such delay [that] may entirely eliminate the prospect of a speedy arbitrated settlement . . . to the disadvantage of the parties . . . and contrary to the aims of national … policy." (*John Wiley & Sons, Inc. v. Livingston* (1964) 376 U.S. 543, 558; *Quach, supra*, 551 P.3d at p. 1133 ["Applying a different rule for determining when a party has lost the right to arbitrate a dispute in cases governed by the CAA's procedural rules from the rule that applies in cases governed by the FAA's procedural rules would . . . lead to additional litigation. Such uncertainty would be contrary to arbitration's purpose of providing an expedient and inexpensive means of dispute resolution."].)

This case perfectly illustrates how sections 1281.97 *et seq*. can result in substantial delay. Golden State Foods and Hohenshelt arbitrated for over a year. In a world without section 1281.98, the parties would have proceeded in arbitration pursuant to the agreed-upon scheduling order, and this case would have

been resolved nearly two years ago. (Pet. Appx. at pp. 234-38 [setting final hearing date for November 29, 2022].)

Thus, once *Gallo*'s facts and rationale are examined, it undermines rather than supports the majority opinion below.

3. The FAA does not authorize a different result between filing in state court and federal court.

The FAA contains no analog of sections 1281.97 *et seq*. Federal district courts are more likely to refuse to enforce the statutory provisions on preemption grounds. In the Petition, Golden State Foods highlighted that the "growing divide between federal and state courts risks inconsistent results and forum shopping." (Pet. at 16.) And in *Quach*, this Court highlighted the importance of uniformity between federal and state law in order to avoid the "risk [of] creating uncertainty and confusion and undermining the purpose of arbitration." (*Quach, supra*, 551 P.3d at p. 125.)

The issue, however, is not merely one of policy. As a matter of substantive law, the FAA does not authorize scenarios where a party would be able to enforce an arbitration agreement in federal court but loses the right to arbitrate in state court. This was the thrust of the landmark decision in *Southland*, *supra*, 465 U.S. 1, which established that section 2 applied in state courts.

The Supreme Court explained that it was "unwilling to attribute to Congress the intent, in drawing on the comprehensive powers of the Commerce Clause, to create a right to enforce an arbitration contract and yet make the right dependent for its enforcement on the particular forum in which it is asserted."

(*Southland*, supra, 465 U.S. at p. 10.) In *Rosenthal*, this Court also emphasized that "Congress can hardly have meant that an agreement to arbitrate can be enforced against a party who attempts to litigate an arbitrable dispute in federal court, but not against one who sues on the same dispute in state court." (*Rosenthal*, *supra*, 14 Cal.4th at p. 408 [quoting *Moses H. Cone, supra*, 460 U.S. at pp. 26–27, fn. 34].) Thus, to avoid forum shopping and vest section 2 with the authority necessary to effectuate its purpose, sections 1281.97 *et seq*. cannot be enforced to invalidate arbitration agreements.

IV. EVEN IF THERE IS NO PREEMPTION, THE CAA PROCEDURAL RULES DO NOT APPLY.

As this Court recently confirmed:

> [A]rbitration related proceedings in California courts are governed by the CAA's procedural rules unless their application is preempted or the parties have expressly agreed that the FAA's procedural rules apply.

(*Quach, supra*, 551 P.3d at p. 1132.) Here, the CAA's procedural rules do not apply because the parties unambiguously agreed to be bound by the FAA and JAMS' rules.

By "default," the FAA's procedures apply in federal courts and the CAA's procedures apply in California courts. (*Quach, supra*, 551 P.3d at p. 1136.) However, the "default" rule does *not* mean that there is a preference for using the procedural rules of the CAA or other State arbitration act. To the contrary, in the FAA, "[n]ot only did Congress require courts to respect and enforce agreements to arbitrate; it also specifically directed them to

respect and enforce the parties' chosen arbitration procedures." (*Epic Sys., supra,* 584 U.S. at pp. 505-06.) In other words, the FAA's chief mandate to "enforce arbitration agreements according to their terms"[] includ[es] . . . *the rules* under which that arbitration will be conducted.'" (*Ibid.* [quoting *American Express Co. v. Italian Colors Restaurant* (2013) 570 U.S. 228, 233, emphasis in original].) "In principle, [parties] might choose to have portions of their contract governed by the law of Tibet, the law of pre-revolutionary Russia…." (*Imburgia, supra*, 577 U.S. at p. 54.)

As this Court explained in *Quach*, the "FAA's procedural rules may apply if the parties expressly agree they do." (*Quach, supra*, 551 P.3d at p. 1136.) In order to determine whether the parties intended to be bound by the CAA's procedural rules, the Court "examine[s] the language of the contract." (*Cronus, supra,* 35 Cal.4th at p. 383.) "If contractual language is clear and explicit, it governs." (*Valencia v. Smyth* (2010) 185 Cal.App.4th 153, 177; Cal. Civ. Code § 1639 ["intention . . . is to be ascertained from the writing alone"].)

Accordingly, "when an arbitration agreement contains a choice-of-law provision, that provision must be honored, and a court interpreting the agreement must follow the law of the jurisdiction selected by the parties." (*Howsam, supra,* 537 U.S. at p. 87 [Thomas, J., concurring]; *Nedlloyd Lines B.V. v. Superior Ct.* (1992) 3 Cal.4th 459, 469 ["When a rational businessperson enters into an agreement establishing a transaction or relationship and provides that disputes arising from the agreement shall be governed by the law of an identified jurisdiction, the logical

conclusion is that he or she intended that law to apply to *all* disputes arising out of the transaction or relationship"]; *Rodriguez v. Am. Techs., Inc.* (2006) 136 Cal.App.4th 1110, 1122 ("*Rodriguez*").)

In *Gallo*—the principal authority relied upon by the Court of Appeal below—the arbitration agreement expressly required the arbitrator to look to the "California Arbitration Act . . . to conduct the arbitration and any pre-arbitration activities." (*Gallo, supra,* 81 Cal.App.5th at p. 630.) The Court held the parties "agreed to apply the CAA" as a matter of basic contract law, and thus applying section 1281.97 fulfilled the FAA's mandate to "give[] effect to the parties' agreement." (*Id.* at p. 640.)

Here, by contrast, there is no reasonable interpretation of the Arbitration Agreement under which the parties agreed to be bound by the CAA's procedural rules. The Agreement does not refer to the CAA, or even California, at all. (Pet. Appx. at p. 35.) Beyond that, the Agreement expressly states that the arbitration "shall be governed by the Federal Arbitration Act" and "shall be submitted to final and binding arbitration in accordance with the rules of . . . JAMS." (*Ibid.*)

Rodriguez considered similar language stating that the parties agreed to arbitrate "[p]ursuant to the [FAA]" and "in accordance with the Construction Industry Arbitration Rules of the American Arbitration Association." (*Rodriguez, supra,* 136 Cal. App. 4th at p. 1122.) The Court held that "there [was] no ambiguity regarding the parties' intent. They adopted the FAA—all of it—to govern their arbitration." (*Ibid.*) The Supreme Court's recent

decision addressing the FAA confirms that "the … use of the word 'shall' 'creates an obligation impervious to judicial discretion.'" (*Smith, supra,* 601 U.S. at p. 476.)

In *Hernandez, supra,* 102 Cal.App.5th 222, the Court interpreted similar language and expressly held that section 1281.97 did not apply. There, like here, the agreement stated that it was "governed by the FAA," and there was "no provision explicitly referring to California law." (*Id.* at pp. 241-42; *Aviation Data, Inc. v. Am. Express Travel Related Servs. Co.* (2007) 152 Cal.App.4th 1522, 1535 [same language trumps New York choice of law provision].)

Indeed, the parties' intent not to be bound by California procedural rules is even clearer here. The Agreement is "governed by the FAA"—but the parties carved out a single exception providing that the scope of discovery is governed by state law. (Ex. p. 35.) If the parties intended state procedural law to apply generally, that carveout would be unnecessary and mere surplusage. California law mandates rejection of such interpretation. (*Rebolledo v. Tilly's, Inc.* (2014) 228 Cal.App.4th 900, 923 [contracts must be construed "so as to give effect to every part . . . and to avoid rendering terms surplusage"].)

Application of the CAA's procedural rules to the parties' arbitration cannot be reconciled with the United States Supreme Court's decision in *Preston v. Ferrer* (2008) 552 U.S. 346. There, the Court held that the parties' incorporation of AAA's rules superseded a specific California choice of law provision. (*Id.* at pp. 362-63.) If California's rules did not apply in that circumstance,

they cannot apply here where the agreement does not even reference California.

As discussed in *Hernandez*, because "the procedures of the CAA, including section 1281.9[8], do not apply . . . [t]he order based on section 1281.9[8] must be reversed." (*Hernandez, supra*, 102 Cal.App.5th at pp. 241-42.)

Finally, because the FAA's procedural rules apply, *Morgan* mandates reversal of the decision below. (*Morgan, supra*, 506 U.S. at p. 418.) In *Quach*, this Court interpreted *Morgan* and confirmed that:

> *Morgan* directly governs [] cases in which *the FAA's* procedural rules apply; in those cases, it *requires California courts to apply generally applicable contract law when determining whether a party to an arbitration agreement has lost the right to compel arbitration* . . . .

(*Quach, supra*, 551 P.3d 1123 at pp. 1131-32, emphasis added.) As explained above, the majority below did not apply "generally applicable contract law" to determine whether Golden State Foods lost its right to arbitrate. The Court of Appeal applied section 1281.97 *et seq*., which is not authorized under *Morgan*.

CONCLUSION

For the foregoing reasons, Golden State Foods respectfully requests that this Court reverse the decision below and allow this matter to proceed in the arbitral forum to which the parties agreed.

Dated: September 6, 2024

Respectfully submitted,

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CERTIFICATE OF COMPLIANCE

(California Rule of Court 8.520(c)(1))

I, Melvin L. Felton, certify pursuant to the California Rules of Court that this Opening Brief on the Merits contains **11,594** words in proportionately-spaced, 13-point Century Schoolbook type as calculated by the Microsoft Word software used to prepare it.

Dated: September 6, 2024

Respectfully submitted,

SANDERS ROBERTS LLP

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)

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9/6/2024
Date

/s/Melvin Felton

Signature

Felton, Melvin (276047)

Last Name, First Name (PNum)

Sanders Roberts LLP

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